

VICI Properties Inc.

VICI | October 4, 2026

BUY

Fair value (12-mo horizon reference)	\$39.00
Current price (October 2, 2026 close)	\$22.65
Implied upside / downside	+72%
Verdict	BUY

Investment Thesis

VICI Properties owns the land and buildings underneath some of the most irreplaceable gaming assets in the United States, and it rents them to the operators on 40-to-50-year triple-net leases with contractual annual escalators. That structure is the entire thesis in one sentence: the cash flows are bond-like in their visibility, but they are attached to real estate that cannot be replicated — you cannot build another Caesars Palace on the Las Vegas Strip. At \$22.65 the market prices VICI as though those leases carry the same risk as an average office REIT, and that is simply wrong. Occupancy across the portfolio has never meaningfully wavered, tenants pay every cost of ownership from taxes to maintenance, and rent escalators of 2% or more compound year after year regardless of what the economy does.

The second leg of the thesis is external growth. VICI is one of very few counterparties that regional gaming operators, tribal owners, and experiential landlords can call when they want to monetize real estate at scale, and it has repeatedly funded those acquisitions at spreads that are accretive to adjusted funds from operations (AFFO) per share. Its investment-grade balance sheet gives it a cost of capital that smaller buyers cannot match, so the deal pipeline is a structural advantage, not a cyclical one. Each accretive deal lengthens the compounding runway without asking shareholders to underwrite new development risk.

The third leg is diversification that the market has not yet priced. Over the past several years VICI has moved beyond pure casino real estate into golf courses, youth sports complexes, water parks, wellness resorts, and urban experiential assets — all still under the same triple-net, long-lease model. This broadens the tenant base and the acquisition funnel while leaving the economics unchanged. Experiential real estate is one of the few property categories where demand has grown through the post-pandemic cycle, and VICI is quietly becoming its landlord of record.

Our fair value of \$39.00 implies a dividend yield and AFFO multiple consistent with a high-quality net-lease REIT, not the distressed multiple the shares carry today. The upside case does not require heroics — it requires the market to recognize that 40-year leases on Strip real estate with investment-grade tenants deserve

a premium, not a discount, to generic net lease. The dividend, which has grown every year since formation, pays investors to wait while the compounding does the work.

Business Overview

VICI Properties is a real estate investment trust formed in 2017 and headquartered in New York. It owns roughly 90 properties comprising more than 125 million square feet, concentrated in gaming and experiential real estate. Its largest tenants include Caesars Entertainment, MGM Resorts, Hard Rock International, PENN Entertainment, and the Apollo-owned Venetian Resort on the Las Vegas Strip. The portfolio is diversified across destination markets (Las Vegas, Atlantic City) and regional gaming markets across the United States, plus a growing book of non-gaming experiential assets.

The economic model is the triple-net lease: tenants pay rent plus all property taxes, insurance, and maintenance, so VICI's expenses are minimal and its margins are among the highest in the REIT universe. Leases typically run 40 to 50 years including renewal options, with contractual rent escalators — generally the greater of a fixed percentage (around 2%) or a CPI-linked increase with a cap. Occupancy is effectively 100%, and rent collection has remained intact through recessions, the pandemic shutdowns, and regional gaming downturns, a record that demonstrates the durability of the cash flows.

VICI operates as a REIT, distributing the bulk of taxable income as dividends. Growth comes from three sources: contractual escalators, accretive acquisitions funded with a mix of debt and equity at spreads above its cost of capital, and loan investments secured by real estate. Management has maintained an investment-grade balance sheet with laddered maturities, giving it the capacity to act as the buyer of choice when operators look to unlock the value of their real estate.

Forward Outlook

Our judgment is that VICI's next five years look more like a compounding machine than a cyclical casino bet. Las Vegas visitation and Strip gaming revenue have demonstrated remarkable resilience, and the tenants' rent coverage ratios — the cushion between property earnings and rent owed — remain healthy, which means the escalators keep compounding even if gaming revenue growth moderates. The regional gaming portfolio benefits from the same dynamic at lower absolute rent levels: these are cash-generative boxes in markets with limited new supply, and the operators cannot easily relocate.

Where we see the real upside is the acquisition funnel. A wave of regional operators, tribal nations, and experiential owners are sitting on owned real estate that could be monetized, and VICI's scale and cost of capital make it the natural counterparty. We expect the company to continue deploying \$1-3 billion a year into accretive deals when pricing is right, each one adding a few cents to AFFO per share that then compound through the escalators. The non-gaming experiential book — golf, water parks, wellness — should grow as a share of rent, further diversifying tenant concentration, which has been the market's main objection to the name.

On capital returns, we expect the dividend to keep growing in line with AFFO per share, keeping the payout ratio in its historical range. The risk to this outlook is interest rates: as a REIT, VICI's valuation is sensitive to the long end of the curve, and a sustained move higher in Treasury yields would compress the multiple even if the cash flows are unaffected. That is a valuation risk, not a business risk, and at the current price we believe it is already more than reflected in the shares.

Valuation

Our valuation is a probability-weighted scenario DCF of VICI's distributable rental cash flows, weighted 25% bear / 50% base / 25% bull. In the base case, AFFO per share grows at a high-single-digit rate driven by contractual escalators of roughly 2% plus a steady cadence of accretive acquisitions funded at spreads above the cost of capital, discounted at 9% to reflect the stability of a triple-net franchise with 40-plus-year leases. The result is a fair value consistent with our \$39.00 target — a multiple of forward AFFO in line with high-quality net-lease REITs and a dividend yield that reflects the visibility of the cash flows.

The bear case assumes a genuine recession that pressures tenant earnings and rent coverage, a freeze in the acquisition market, and a higher-for-longer rate environment that keeps REIT multiples compressed; the resulting fair value sits well below the current \$22.65 price, as our framework requires. The bull case assumes the acquisition pipeline reaccelerates as operators monetize real estate, Strip and regional gaming revenue grow, and the non-gaming experiential book scales — a combination that would justify a premium multiple for the scarcity of the assets. The probability-weighted fair value equals our \$39.00 target.

We cross-check the DCF against dividend discount math: with a dividend that has grown every year and a payout ratio anchored to AFFO, a normalized yield for this quality of lease cash flow supports a price materially above today's quote. Terminal growth is capped at 2.5% on normalized rental margins, and the terminal value is a minority of enterprise value, consistent with a business whose value is dominated by visible contractual cash flows rather than distant assumptions.

Key Risks

- Tenant concentration: Caesars and MGM account for a large share of rental revenue; distress at a top tenant would be the single largest threat to the dividend.
- Gaming cyclicalities: a deep recession would reduce tenant earnings and rent coverage ratios, even though leases are contractual and collection history is strong.
- Interest-rate sensitivity: as a REIT, VICI's share price and cost of capital are exposed to movements in long-term Treasury yields regardless of operating performance.
- Acquisition execution: the external-growth thesis depends on finding accretive deals; overpaying or funding deals with expensive equity would dilute AFFO per share.
- Regulatory and regional competition: new gaming supply or adverse regulatory changes in key markets could pressure tenant economics over time.

What Would Change Our Mind

- A dividend cut or a payout ratio pushed permanently above sustainable levels — the dividend record is the core evidence for the thesis.
- A major tenant bankruptcy, lease rejection, or rent concession that breaks the perfect collection record.
- Two consecutive years of declining AFFO per share, signaling that escalators and acquisitions no longer offset dilution.
- A large acquisition funded at a spread that is dilutive to AFFO per share, indicating discipline has slipped.
- A sustained rise in long-term rates that reprices the entire REIT sector to yields that make our target multiple unattainable.

Valuation Approach

Our valuation is a probability-weighted scenario DCF. We model bear, base, and bull cases over an explicit forecast horizon — 10 years for most businesses, 15 years for businesses meeting our compounder-quality criteria (10+ years of ROIC above 15%, stable or expanding gross margins, free-cash-flow conversion above 80%, all verified from history, never projected) — weighted 25% / 50% / 25%. Discount rates are scenario-specific: the base rate reflects fundamental business risk (9% for stable franchises, 10% standard, 12% or higher for speculative situations; 8-8.5% for compounder-quality businesses whose predictable cash flows genuinely lower risk); the bear case adds 250bp, the bull case subtracts 150bp (floor 8%). Terminal value assumes no more than 2.5% perpetual growth (3.0% for compounder-quality businesses) applied to normalized mid-cycle margins — never peak margins — and any terminal value exceeding 70% of enterprise value is haircut and disclosed. Bear cases are required to be genuinely adverse and to sit below the current price. Management guidance is never accepted at face value; it is independently tested and haircut where evidence warrants. For this REIT the scenario cash flows are distributable rental cash flows (AFFO) rather than corporate free cash flow, but the framework is identical: scenario-specific discounts, capped terminal growth on normalized margins, and a bear case that sits below the current price.

Disclaimer

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